MONEY DILEMMAS WITH Vanessa Stoykov

WHAT WOULD YOU DO?

THE NEXT STEP

THE BANK OF MUM AND DAD

Helping your adult children without risking your financial future

A practical guide to family money conversations, home loan guarantees and smarter ways to help.

WITH VANESSA STOYKOV

Featuring insights from financial adviser Harry Moustakas

Companion to Money Dilemmas - What Would You Do?

Reader edition | Australian financial and lending context

Welcome

There comes a point when being a parent and making a good money decision can pull you in opposite directions. Your adult child needs help buying a home. You want to help. But what if the money or security they need is the very thing you are relying on for retirement?

In Money Dilemmas, I spoke with financial adviser Harry Moustakas about David, 62, whose son wants him to guarantee a home loan. His wife is keen to help; David is worried. And I can understand both sides. Housing is expensive, families want to help each other, and nobody wants to be the person who says no.

This guide is for any parent, grandparent or family member weighing up financial help for an adult child. You do not have to be considering a guarantee. You might be thinking about a gift, a loan, letting a child live at home or helping with the costs of buying property. The goal is the same: understand your own position, ask better questions and agree on boundaries you can live with.

Good luck on having the right conversations,

Vanessa Stoykov



How to use this guide

1. Read the key insights from Harry and mark what applies to your family.

2. Complete the worksheets using estimates if necessary, and mark anything you need to verify.

3. Use the questions to prepare for meetings with a financial adviser, mortgage broker and lawyer.

4. Complete the 30-day plan before making a commitment or signing anything.

If there is pressure, intimidation or financial abuse in your family, seek confidential independent support before sharing your financial information or agreeing to an arrangement.



Featuring insights from

Harry Moustakas

Financial adviser

SECTION 01

The dilemma: when your son asks you to go guarantor

David is 62. He and his wife own their home and are still working. Their son and his partner want to buy a property but need help. The family is considering asking David and his wife to act as guarantors. David worries about what could happen if the couple cannot meet their repayments, especially with retirement getting closer.

Harry's central message was to start with the parents' own financial security, not the property their child wants to buy. Only then should the family explore how much help, if any, is affordable and which arrangement carries acceptable risk.

Five insights from Harry's interview

1. A guarantee is a serious legal commitment. Depending on its terms, the lender may pursue the guarantor if the borrower defaults; assets provided as security may be at risk.

2. Before offering help, model the parents' retirement income, savings, expenses and potential exposure.

3. The adult child and their partner need a realistic budget, including loan repayments, ownership costs and a higher-interest-rate scenario.

4. A guarantee is not the only option. Limited guarantees, cash security, gifts and documented family loans may be worth discussing, but each has different risks and conditions.

5. An independent financial adviser, mortgage broker and lawyer can help the family separate emotion from evidence and make an informed decision.

These points are drawn from the conversation and are general educational themes, not a recommendation to enter any particular arrangement.

What is the biggest concern I have about helping my child?

What am I assuming will happen, and what could go wrong?

SECTION 02

Understand what going guarantor means

A guarantor promises a lender that they will meet specified obligations if the borrower does not. The precise scope depends on the loan and guarantee documents. A guarantee may be limited to a specified amount or may expose the guarantor more broadly. A lender may take security over the guarantor's home or another asset. Never assume that "I am just helping with the deposit" describes your legal exposure.

In the interview, Harry raised the possibility of job loss, illness, relationship breakdown and falling property values. These are not predictions. They are reasons to stress-test the arrangement before anyone signs.

Guarantee risk checklist

- What exact amount am I guaranteeing, including interest, costs or fees?
- Which of my assets, if any, will be offered as security?
- When and how could the lender demand payment from me?
- What happens if the borrower misses repayments or the property value falls?
- Could this affect my ability to borrow, refinance, move or retire?
- How will the guarantee be released, and what evidence will confirm its release?
- Have I received independent legal advice on the actual documents?

The three guarantee terms I need explained in plain English:

SECTION 03

Check your own financial future first

Harry encouraged David and his wife to work out what they need for retirement before considering their son's request. That is a valuable rule for any form of family financial help: work out what you can afford to lose, lend or put at risk without relying on everything going perfectly.

My financial security snapshot

My expected retirement age and desired lifestyle:

My current savings, retirement savings and investments:

My debts, regular expenses and major future costs:

My expected retirement income and the gaps I need to investigate:

My emergency cash buffer and other commitments to family:

These answers are a starting point, not a retirement projection. Ask a qualified financial adviser to model different scenarios, including a delayed retirement, lower investment returns and the possibility of having to meet a guarantee.

SECTION 04

Can the buyer really afford the home?

Harry suggested that David's son and partner prepare a proper household budget. Being able to secure a loan is not the same as being comfortable making repayments for years. The mortgage is only one part of owning a home.

Home-buying reality check

- Deposit available and source of funds
- Proposed purchase price, loan size and interest rate
- Estimated repayments now and after an interest-rate increase
- Council rates, strata where relevant, insurance, utilities and maintenance
- Stamp duty and other purchase costs where applicable
- Existing loans, credit cards and other commitments
- Cash savings left after settlement
- Income protection, life and disability cover needs to discuss with a professional
- What happens after a job loss, illness, separation or unexpected repair

Which costs have we not yet calculated?

What could the buyers cut or change if repayments became difficult?

Ask a mortgage broker to model multiple interest-rate and repayment scenarios using the actual proposed loan terms. Do not treat a simple online calculator as a lender approval or a complete affordability assessment.

SECTION 05

Compare the ways families can help

There is no single right way to support an adult child. Each option has different consequences for control, affordability, tax, borrowing and family relationships. The table is a conversation starter, not an endorsement.

Option	Potential benefit	Questions and risks
Cash gift	Simple for the recipient if genuinely affordable	Can you afford not to get it back? How will it affect other children and your retirement?
Documented family loan	May preserve an expectation of repayment	What are the terms, security, tax implications and consequences of non-payment?
Limited guarantee	May cap specified exposure if the lender agrees	What is the actual cap, how is it calculated and when is it released?
Cash-backed security	May avoid securing the parents' home directly in some structures	Is cash locked up or borrowed? What happens on default?
Help with advice or savings	Can build skills without taking on the mortgage	Will it solve the problem, and what boundaries apply?
Delay or smaller purchase	May reduce borrowing and pressure	What is the realistic revised timeline and budget?

Harry discussed some of these possibilities, including limited guarantees and cash collateral. Availability depends on the lender and the family's circumstances. A "gift with a loan agreement" should not be treated as both a gift and a repayable loan without clarifying its legal nature; obtain advice on the intended structure and documentation.

Which two options should we investigate first, and why?

SECTION 06

Have the family conversation before the bank conversation

The hardest part may not be the numbers. It may be telling your child that your answer is “not yet” or “no”. Harry and I talked about how an adviser can become a neutral voice in the room, helping everyone understand what is possible without turning one parent into the villain.

Conversation prompts

- What are you asking us to do, exactly, and for how long?
- What savings have you built and how much could you afford each month?
- What will you do if your income falls or interest rates rise?
- What other options have you explored?
- How would we handle this if you separated from your partner?
- If we have other children, what would fair treatment look like over time?
- Can we all agree to seek advice before any commitment?

A useful starting script: “We want to support you, but we cannot promise anything until we understand what it would mean for our retirement and for your financial future. Let’s work through the numbers and the alternatives together.”

What boundaries do I need to communicate clearly?

SECTION 07

The Financial Flashpoints exercise

A financial flashpoint happens when strong emotion and a significant money decision arrive at the same time. A child finding their dream property can create enormous urgency. But a lifetime financial commitment should not be decided on the timetable of an auction or a sales agent.

PAUSE: What am I feeling?

Is this love, guilt, fear of disappointing someone, excitement or pressure?

WAIT: What is actually urgent?

What can wait while I seek advice? Are there genuine contractual deadlines?

LOOK AHEAD: The five- and ten-year lens

How could this decision affect my retirement, housing and family relationships?

VALUES: What matters most?

How do I balance generosity, fairness, independence and security?

EXPERT VIEW: Who should challenge my assumptions?

What should I ask an independent financial adviser, broker or lawyer?

My rule for this decision: I will not commit or sign until

SECTION 08

Ten questions to ask before you say yes

01. To the financial adviser: Can we afford this assistance under realistic retirement scenarios?

02. To the financial adviser: What would the worst plausible financial outcome mean for us?

03. To the mortgage broker: What borrowing and security structures are actually available?

04. To the mortgage broker: What would repayments look like if rates increased?

05. To the mortgage broker: How and when could a guarantee be released?

06. To the lawyer: What obligations and assets are exposed under the proposed guarantee?

07. To the lawyer: If we give or lend money, how should the arrangement be documented?

08. To the buyers: Can you show us a budget including ownership costs and an emergency buffer?

09. To the family: How will we manage fairness, privacy and expectations with other children?

10. To ourselves: If the answer must be no, can we say it without feeling we have failed as parents?

My three most important questions for the first appointment:

SECTION 09

Protecting the relationship as well as the money

Money arrangements can outlast the excitement of buying a home. Discuss whether help is a gift or loan, whether there is an expectation of repayment, what happens if circumstances change and how everyone will communicate. If the buyer has a partner, clarify who is involved in the arrangement. If other children may later seek help, agree on principles rather than making promises you cannot keep.

An independent lawyer can explain whether a formal agreement, security, estate-planning review or other documents are appropriate. Do not rely on a casual family conversation or a template agreement to resolve complex ownership or repayment questions.

My family agreement preparation checklist

- ☐ We have discussed whether help is a gift, loan, guarantee or another arrangement.
- ☐ Everyone understands that a lender's rights may differ from family expectations.
- ☐ We have discussed default, separation, death, disability and changed circumstances.
- ☐ We have considered other children and possible estate-planning implications.
- ☐ We have obtained independent advice and understand any documents before signing.

What would a good family relationship look like after this decision?

SECTION 10

Your 30-day action plan

This is a preparation plan, not a deadline. A family should not rush a guarantee simply because a particular property becomes available.

Days 1-7: Pause and get clear

- Write down exactly what help is being requested.
- Discuss your own financial priorities with your partner.
- List savings, debts, retirement savings, expenses and future needs.
- Tell your child you need time and independent advice.

Days 8-14: Test the numbers

- Arrange a financial advice discussion about retirement and potential exposure.
- Ask the buyers for a realistic budget and savings plan.
- Ask a mortgage broker to model repayments, higher rates and loan alternatives.

Days 15-21: Compare options

- Request written explanations of any proposed guarantee or security.
- Explore gift, loan, limited guarantee and no-guarantee alternatives with advisers.
- Speak with an independent lawyer about legal risks and documentation.

Days 22-30: Decide on the next step

- Hold a calm family meeting to review the options.
- Confirm what you can afford, what you cannot and any conditions.
- Do not sign until the advice and documents are understood.
- If necessary, decide to wait, offer a different kind of help or say no.

My three priorities for the next 30 days:

SECTION 11

Useful resources and next steps

These resources can help Australian readers explore their options and find professional support. Eligibility and lending arrangements depend on individual circumstances.

Understanding guarantees and home loans

ASIC Moneysmart
Information about going guarantor and home loans

ASIC Moneysmart
Budgeting, borrowing and financial education

Housing Australia
Information about Australian Government home buyer support programs and eligibility

Finding professional help

Find a Financial Adviser - Vanessa Stoykov

FAAA Find a Planner
Search for a financial adviser who is an FAAA member

Financial Advisers Register
Check the registration of an Australian financial adviser

Adviser Ratings
Compare financial adviser profiles and consumer reviews

When money pressure is overwhelming

National Debt Helpline
Free financial counselling and debt support | 1800 007 007

1800RESPECT
Support for domestic, family and sexual violence, including coercive control | 1800 737 732

Lifeline Australia
Crisis support | 13 11 14

If you are in immediate danger in Australia, call 000.

A final word from Vanessa

I understand why parents want to give their children a head start. But love is not a loan assessment, and guilt is not a retirement plan. You can care deeply about your child and still ask hard questions about money.

The most useful thing you can give your family may be clarity: knowing what you can afford, understanding the risks and being able to explain your decision without blame. Sometimes the answer will be yes. Sometimes it will be not yet. And sometimes the most responsible answer is no.

Your financial future matters too. Take the time to protect it.

All the best,



Important information

This guide provides general financial education and information only. It is not personal financial, legal, tax, credit or mortgage advice. It does not take account of your objectives, financial situation or needs. Guarantee obligations, lending products and eligibility rules vary. Seek independent advice from appropriately qualified professionals and read the relevant legal and loan documents before acting. No outcome is guaranteed.

Keep the conversation going.

Watch or listen to Money Dilemmas - What Would You Do? for expert conversations about the money decisions that shape our lives. Share your own money dilemma through Vanessa's website:

WATCH MONEY DILEMMAS

vanessastoykov.com.au

HAVE A MONEY DILEMMA OF YOUR OWN?

Scan the QR code and tell us about it.

SCAN TO SHARE YOUR STORY

an evolution media group creation

© 2026 evolution media group. All rights reserved.

Published by evolution media group Pty Ltd | ABN 77 091 835 924

This guide is for educational purposes only. It is not personal financial, legal or tax advice and does not take your circumstances into account. Consider seeking professional advice before acting on the information.